

CONTRACT LOAN - CREDIT ANALYSIS

Player A | \$10,250,000 Guaranteed Contract Facility | February 2025

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**Sample deal for demonstration purposes only. All data is fictional. Prepared independently by Kristen Gallagher.*

CREDIT MEMORANDUM

SUMMARY

Player A is seeking a \$10.25M contract advance secured by a four-year, \$120M guaranteed NBA contract with the ABC Basketball team. The proposed facility carries a 36-month term at 13% interest, inclusive of a 12-month deferral period followed by 24 months of principal and interest payments of \$487,304 per month. Loan proceeds will be used to invest in multiple franchises.

On June 3, 2023, Player A signed a four-year, \$120M Guaranteed NBA Contract with the ABC Basketball team, with an average annual salary of \$30,000,000 for the 2023-2027 seasons. The Borrower has \$86.932M remaining over the 2024 - 2027 seasons.

The deal is supported by substantial collateral. With \$86.9M in remaining guaranteed contract value securing a \$10.25M facility, LTCg stands at 11.8% against a 25% maximum and collateral coverage of 8.48x. Average DSCR of 4.33x exceeds the 2.5x minimum threshold and all underwriting guidelines are satisfied. Credit profile presents moderate risk; Borrower's score of 680 is below average for a facility of this size. Minimum annual DSCR declines to 2.16x in year four reflecting a scheduled salary reduction, mitigated by the reserve structure and collateral coverage maintained throughout the term. Protective conditions include Death, Dishonor & Disgrace insurance, a 10% cash depository reserve, Full year of interest upfront to cover the 12-month deferral period in the borrowers off-season, and direct deposit of contract proceeds to a lender-controlled account.

Primary Repayment Source: *Guaranteed NBA Contract Cash-Flow* **Secondary Source:** *Insurance policies provided through Insurer A* **Tertiary Source:** *Enforcement of full Guarantee provided by Borrower*

SUMMARY OF TRANSACTION RECOMMENDATIONS

- Lender to provide an advance of \$10.25M against the Borrower’s NBA Contract for the 2024-2027 NBA seasons
- Loan repayments will be made directly from the ABC NBA Team into a Lender controlled account
- Borrower to establish payroll direct deposit account with Lender to be used for automatic payments
- The Lender will be protected by assigned Death & Disgrace insurance policy underwritten by Insurer A at Lender’s discretion
- Prior to closing, the borrower will prefund Death & Disgrace Insurance (\$190,050 est.), Interest Reserve of \$727,689, and 10% Cash Depository Reserve (\$1,025,000) prior to closing totaling \$2,009,739 million upfront. This will provide immediate liquidity, payment continuity, and catastrophic loss protection for the lender.

12-month deferral | 24-month amortization | 13% interest rate | DSCR: 4.33x | LTC: 11.8% | Net Worth: \$90.7M | Cash Reserve: \$1,025,000 | Credit Score: 680

Capital	2
Collateral	3
Character	2
Capacity	2
Conditions	2

Prepared by: Kristen Gallagher
Date: Wednesday, February 5, 2025

**Sample deal for demonstration purposes only. All data is fictional.*

Recommendation

Approved

Proposed Facility Terms & Conditions	
Borrower	Player A
Loan Type	NBA Guaranteed Contract Loan
Purpose of Proposed Facility	Contract advance; Invest in franchises
Proposed Commitment	\$10,250,000
Term	36 Months
Interest Rate	13%
Underwriting Fee	3%
Origination Fee	1%
Interest Reserve	\$727,689
Collateral	Remaining NBA Contract (\$86,932,818)
Prepayment Penalty	None
Proposed Maturity	November 1, 2027 Coterminous with the NBA Contract for the 2024-2027 seasons
Guarantor(s)	Player A
Amortization Schedule (Reference Schedule Tab)	Year 2024: No payments, interest reserve cover through November 1, 2025. December 1, 2025 – November 1, 2026: 12 monthly principal & interest ~\$5,847,644 total. December 1, 2026 – November 1, 2027: 12 monthly principal & interest ~\$5,847,644 total
Primary Repayment Source	Cash Flow from NBA Contract
Protections (A)	Death, Dishonor, & Disgrace insurance provided through Insurer A
Protections (B)	Enforcement of full Guarantee provided by Borrower
Balloon at Maturity	N/A

Ratio	
DSCR	4.33x
LTCg (LTV)	11.8%
DTA	17%
Interest Coverage	12.26x
Credit Score	680
Disposable Income (Net)	40.5%
Collateral Coverage	8.48x
Liquidity (Months)	57.5
DTI	2.33%
DTI Pro Forma	21.18%

**Disposable Income reflects average net cash flow across the full loan term as a percentage of total contract value. DSCR reflects average annual debt service coverage across active repayment periods.*

RISK FLAGS & MITIGANTS				
Risk Factor	Description	Severity	Mitigant	Residual Risk
Year-4 DSCR Deterioration	Minimum annual DSCR declines to 2.16x in the 2026-27 season as guaranteed salary steps down to \$26.9M, falling below the 2.50x guideline floor on an annual basis.	MEDIUM	Interest reserve, 10% cash depository, and collateral coverage of 8.48x provide sufficient liquidity buffer. Lender-controlled direct deposit ensures payment continuity regardless of borrower cash management.	LOW
Below-Average Credit Score	Borrower credit score of 680 is below average for a facility of this size. One prior missed payment noted, since resolved. Four accounts currently in good standing.	LOW	Full personal guarantee and guaranteed contract income significantly reduce reliance on borrower creditworthiness. Active monitoring required throughout loan term.	LOW
Speculative Use of Proceeds	Loan proceeds designated for franchise investment — an illiquid, speculative asset with no guaranteed return or direct income offset against loan obligations.	MEDIUM	Repayment sourced entirely from guaranteed NBA contract cash flow, Franchise investment does not affect repayment capacity. DDD insurance provides catastrophic loss protection.	LOW

Underwriting Standards: Type	Guidelines	Pro Forma - Player	In Compliance Y/N
Maximum LTC	25%	12%	Yes
Minimum Average DSCR	2.5x	4.33x	Yes
Minimum Cash Equity	10%	10%	Yes
Maximum Term	36 Months	36 Months	Yes
Maximum Amortization	36 Months	24 Months	Yes
Direct Deposit	Required	Provided	Yes
Personal Guarantee	Full Recourse	Full Recourse	Yes
Maximum DTA	0.5	0.17	Yes
Credit Score	675	680	Yes

Collateral: Borrower holds significant collateral; LTCg of 11.8% is well within the 25% maximum. NBA guaranteed contract provides \$86.9M in contract-backed security. **Score: 3/3**

Capital: Cash reserves and interest reserve provide coverage for the 12-month deferral period. Depository account established for automatic payment collection. **Score: 2/3**

Character: Credit score holds at 680; it is below average and will be monitored. Credit history reveals one historical missed payment, since resolved. Four open accounts all in good standing. (2) *Borrower has one criminal record; disturbing the peace in 2017. **Score: 2/3**

Capacity: DSCR of 4.33x on average exceeds the 2.5x minimum. Income is guaranteed through 2027 NBA contract. Note: minimum annual DSCR of 2.16x in year 4 falls below guideline floor. **Score: 2/3**

Conditions: DDD insurance, depository account, and interest reserve established as protective conditions. Loan purpose (franchise investment) introduces speculative use of proceeds. **Score: 2/3**

Personal Cash Flow Analysis

	<i>Pro Forma</i>				
	<u>2023-24</u>	<u>2024-25</u>	<u>2025-26</u>	<u>2026-27</u>	<u>Totals</u>
Salary (Professional Contract)	\$ 33,068,182	\$ 31,022,727	\$ 28,977,273	\$ 26,931,818	\$ 120,000,000
GROSS CASH FLOW	33,068,182	31,022,727	28,977,273	26,931,818	120,000,000
Less:					
Escrow (10%)	3,306,818	3,102,273	2,897,727	2,693,182	12,000,000
Federal/Other Taxes (Est @ 35%)	10,416,477	9,772,159	9,127,841	8,483,523	37,800,000
Net Cash Flow	\$ 19,344,886	\$ 18,148,295	\$ 16,951,705	\$ 15,755,114	\$ 70,200,000
Less:					
Living Expenses (Est @ 10% of income)	1,934,489	1,814,830	1,695,170	1,575,511	7,020,000
AVAILABLE FOR DEBT	\$ 17,410,398	\$ 16,333,466	\$ 15,256,534	\$ 14,179,602	\$ 63,180,000
Less:					
<i>Estimated Guaranteed Contract Loan (@ 13%)</i>	-	-	<i>5,847,644</i>	<i>5,847,644</i>	<i>11,695,288</i>
Mortgage (709 Palmview Drive, FL)	230,280	230,280	230,280	230,280	921,120
Mortgage (123 Brookstone Manor, NY)	114,300	114,300	114,300	114,300	457,200
Mortgage (7 & 15 South Street, CA)	80,664	80,664	80,664	80,664	322,656
Mortgage (33276 Queens Colony, MD)	38,400	38,400	38,400	38,400	153,600
Automobile	18,201	18,201	18,201	18,201	72,804
Pierce Advisors (@10%)	190,000	190,000	190,000	190,000	760,000
Credit Cards	50,000	50,000	50,000	50,000	200,000
TOTAL DEBT	\$ 721,845	\$ 721,845	\$ 6,569,489	\$ 6,569,489	\$ 14,582,668
NET CASH FLOW	\$ 16,688,553	\$ 15,611,621	\$ 8,687,045	\$ 7,610,113	\$ 48,597,332
DEBT SERVICE RATIO	24.12	22.63	2.32	2.16	4.33

S\$10.25M Loan Amortization Schedule							
PMT #	Date	Beg Balance	Interest	Principal	Total PMT	End Balance	
1	12/1/24	\$ 10,250,000	\$ -	\$ -	\$ -	\$ 10,250,000	
2	1/1/25	10,250,000	-	-	-	10,250,000	
3	2/1/25	10,250,000	-	-	-	10,250,000	
4	3/1/25	10,250,000	-	-	-	10,250,000	
5	4/1/25	10,250,000	-	-	-	10,250,000	
6	5/1/25	10,250,000	-	-	-	10,250,000	
7	6/1/25	10,250,000	-	-	-	10,250,000	
8	7/1/25	10,250,000	-	-	-	10,250,000	
9	8/1/25	10,250,000	-	-	-	10,250,000	
10	9/1/25	10,250,000	-	-	-	10,250,000	
11	10/1/25	10,250,000	-	-	-	10,250,000	
12	11/1/25	10,250,000	-	-	-	10,250,000	
13	12/1/25	10,250,000	111,042	376,262	487,304	9,873,738	
14	1/1/26	9,873,738	106,965	380,338	487,304	9,493,400	
15	2/1/26	9,493,400	102,845	384,459	487,304	9,108,941	
16	3/1/26	9,108,941	98,680	388,623	487,304	8,720,318	
17	4/1/26	8,720,318	94,470	392,834	487,304	8,327,484	
18	5/1/26	8,327,484	90,214	397,089	487,304	7,930,395	
19	6/1/26	7,930,395	85,913	401,391	487,304	7,529,004	
20	7/1/26	7,529,004	81,564	405,739	487,304	7,123,264	
21	8/1/26	7,123,264	77,169	410,135	487,304	6,713,129	
22	9/1/26	6,713,129	72,726	414,578	487,304	6,298,551	
23	10/1/26	6,298,551	68,234	419,069	487,304	5,879,482	
24	11/1/26	5,879,482	63,694	423,609	487,304	5,455,873	
25	12/1/26	5,455,873	59,105	428,198	487,304	5,027,674	
26	1/1/27	5,027,674	54,466	432,837	487,304	4,594,837	
27	2/1/27	4,594,837	49,777	437,526	487,304	4,157,311	
28	3/1/27	4,157,311	45,038	442,266	487,304	3,715,045	
29	4/1/27	3,715,045	40,246	447,057	487,304	3,267,987	
30	5/1/27	3,267,987	35,403	451,900	487,304	2,816,087	
31	6/1/27	2,816,087	30,508	456,796	487,304	2,359,291	
32	7/1/27	2,359,291	25,559	461,745	487,304	1,897,546	
33	8/1/27	1,897,546	20,557	466,747	487,304	1,430,799	
34	9/1/27	1,430,799	15,500	471,803	487,304	958,996	
35	10/1/27	958,996	10,389	476,915	487,304	482,081	
36	11/1/27	\$ 482,081	\$ 5,223	\$ 482,081	\$ 487,304	\$ 0	

Summary	
Total Payments	\$ 11,695,288
Total Principal Paid	10,250,000
Total Interest Accumulated	1,445,288
Total Cost of Loan	12,422,977
Lender Return	\$ 2,172,977

Interest	13%
Term (Months)	36
Origination Fee (1%)	\$ 102,500
Underwriting Fee (3%)	\$ 307,500
Death & Disgrace Insurance (est)	\$ 190,050
Interest Reserve (est)	\$ 727,689
Cash Reserve (Depository Acct) 10% of outstanding balance	\$ 1,025,000
Total Upfront	\$ 2,352,739
Monthly PMT	\$ 487,304
Annual Debt service	\$ 5,847,644
DSCR	4.33x

Load Proceeds:	
Gross Loan Amount	\$ 10,250,000
Lender Origination Fee (Est)	(102,500)
Underwriting Fee (Est)	(307,500)
Legal/Closing Costs (Est)	(22,000)
To be disbursed to Borrower (Est)	5,003,600
Death & Disgrace Insurance (Est)	(190,050)
Net to be Disbursed to Borrower (Est)	\$ 4,813,550

Sensitivity Analysis - Total Interest Earned					
Rate \ Term	24 Mo	30 Mo	36 Mo	42 Mo	48 Mo
10%	\$ 563,654	\$ 830,531	\$ 1,101,652	\$ 1,377,009	\$ 1,656,592
11%	620,944	915,671	1,215,528	1,520,505	1,830,587
12%	678,401	1,001,188	1,330,074	1,665,045	2,006,080
13%	736,025	1,087,081	1,445,288	1,810,626	2,183,068
14%	793,815	1,173,350	1,561,169	1,957,246	2,361,545
15%	\$ 851,772	\$ 1,259,993	\$ 1,677,715	\$ 2,104,902	\$ 2,541,506

* Term includes 12-month deferral period. Interest calculated on active payment months only (term minus 12). Current deal highlighted.

Sensitivity Analysis - Minimum Annual DSCR by Rate & Term					
Rate \ Term	24 Mo	30 Mo	36 Mo	42 Mo	48 Mo
10%	1.31x	1.92x	2.50x	3.05x	3.57x
11%	1.30x	1.90x	2.47x	3.01x	3.52x
12%	1.30x	1.89x	2.45x	2.98x	3.47x
13%	1.29x	1.88x	2.42x	2.94x	3.42x
14%	1.28x	1.86x	2.40x	2.90x	3.37x
15%	1.28x	1.85x	2.38x	2.87x	3.33x

*DSCR based on minimum annual net income available for debt service (2026-27 season). Minimum guideline: 2.50x. Current deal highlighted.

INPUTS		
Gross Loan Amount	\$	10,250,000
Interest		13%
Term (Months)		36
Origination Fee (1%)		102,500
Underwriting Fee (3%)		307,500
Death & Disgrace Insurance (est)		190,050
Interest Reserve (est)		727,689
Cash Reserve (Depository) 10% of Outstanding Balance		1,025,000
Total Upfront		2,352,739
Monthly PMT (<i>Defered 12 months</i>)		487,304
Annual Debt service		5,847,644
Annual Income		31,022,727
Monthly Income		2,585,227
Monthly Debt (Total)		60,154
Contract Value		86,931,818
Credit Score		680

PERSONAL RESIDENCE, REAL ESTATE INVESTMENTS, & MORTGAGE DEBT								
Personal Residence Address		Loan Balance		PMT	Rate	Maturity	Principal	Origination Date
123 Brookstone Manor, New York, NY	\$	1,970,000	\$	9,525	3.95%	4/8/52	\$ 2,007,219	2022
709 Palmview Drive, Miami, FL		2,863,000		19,190	6.95%	8/30/53	2,899,020	08/31/2023
33276 Queens Colony, Bethesda, MD		477,000		3,200	6.95%	7/19/53	\$483,421.73	2022
Investment Property Address		Loan Balance		PMT	Rate	Maturity	Principal	Origination Date
7 & 15 South Street, Los Angeles, CA	\$	1,000,000	\$	6,722	8%	12/14/51	\$ 916,098	5/20/2021

Personal Financial Statement

<u>Assets</u>		<u>Liabilities</u>	
Cash & Cash Equivalents		Proposed Debt	
Cash on Hand	\$ 2,158,502	<i>Proposed Guaranteed Contract Loan</i>	\$ 10,250,000
Marketable Securities	1,300,000		
Total Cash & Cash Equivalents	3,458,502	Installment & Personal Debt	
Contract & Investment Assets		Pierce Advisors	1,900,000
Guaranteed NBA Contract (Remaining)	86,931,818	Credit Cards (Amex)	92,768
Various Partnerships	7,165,498	Auto (KG Financial)	44,010
Total Contract & Investment Assets	94,097,316	Total Installment & Personal Debt	2,036,778
Real Estate		Mortgage Debt	
123 Brookstone Manor, NY	2,600,000	123 Brookstone Manor, NY	1,970,000
709 Palmview Dr, Miami FL	4,100,000	709 Palmview Dr, Miami FL	2,863,000
33276 Queens Colony, Bethesda, MD	638,000	33276 Queens Colony, Bethesda, MD	477,000
7 & 15 South Street, Los Angeles, CA	1,000,000	7 & 15 South Street, Los Angeles, CA	1,000,000
Total Real Estate	8,338,000	Total Mortgage Debt	6,310,000
Automobiles, Boats & Vessels			
Automobile (Adjusted for Depreciation)	22,500		
Total Automobiles, Boats & Vessels	22,500		
Personal Property			
Watch Collection/Jewelry	3,100,000		
Artwork	1,800,000		
Total Personal Property	4,900,000		
TOTAL ASSETS	\$ 110,816,318	TOTAL LIABILITIES	\$ 18,596,778
NET WORTH			\$ 92,219,540

ANNUAL INCOME SUMMARY (Supplemental)

NBA Contract Income	\$ 31,022,727
Rental Income	96,000
Interest Income	120,000
Dividend Income	20,000
Total Annual Income	\$ 31,258,727

UNIFORM PLAYER CONTRACT

Exhibit 1 - Compensation

Player: Player A
Team: ABC Team
Date: Saturday, June 3, 2023

<u>Season</u>	<u>Current Base Compensation</u>	<u>Deferred Base Compensation</u>
2023 - 24	\$33,068,182	N/A
2024 - 25	\$31,022,727	N/A
2025 - 26	\$28,977,273	N/A
2026 - 27	\$26,931,818	N/A

NBA Season	Base Salary	Signing Bonus	Total
2023-24	\$ 33,068,182	\$ -	\$ 33,068,182
Received	33,068,182	-	33,068,182
2024-25	31,022,727	-	31,022,727
2025-26	28,977,273	-	28,977,273
2026-27	26,931,818	-	26,931,818
Remaining	86,931,818	-	86,931,818
Totals	\$ 120,000,000	\$ -	\$ 120,000,000

CONTRACT ANALYSIS

Guaranteed Compensation: Player A holds a four-year, \$120M guaranteed NBA contract with the ABC Basketball team covering the 2023-2027 seasons. Base salary declines from \$33,068,182 in 2023-24 to \$26,931,818 in 2026-27, with \$86,931,818 remaining over the loan term.

Incentive Compensation: Three tiers of performance bonuses are payable July 31 following each qualifying season, contingent on 65+ regular season games played. Team performance bonuses (net rating, playoff participation, statistical rankings) are capped at \$1,550,000 annually. Individual performance bonuses (rebounding, shooting, defensive metrics) are capped at \$775,000 annually. League honors bonuses (All-NBA, All-Defensive Team) are capped at \$1,550,000 annually. All incentive compensation is non-guaranteed and excluded from base repayment projections.

Insurance Reimbursement: Team reimburses Player for term life insurance premiums each season, capped at 10 -year guaranteed term coverage at preferred rates. Maximum reimbursable coverage declines from \$85,000,000 in 2023-24 to \$19,431,819 in 2026-27. Reimbursement due April 1 each season.

Injury Protection: In the event the Player sustains an injury rendering him unable to perform, the team is obligated to continue salary payments for the affected season, subject to confirmation by the team's medical staff that the injury occurred during play. Payments cease upon satisfaction of the season's full salary obligation. Workers' compensation benefits and insurance proceeds arranged by the team are offset against amounts owed.

Waiver Protocol: If released, the contract must be placed on waivers for 48 hours. Any claiming team assumes the guaranteed salary obligation at a \$1,000 acquisition cost. The waiver process is irrevocable once initiated. Guaranteed contract obligations transfer to any claiming team, repayment capacity is preserved regardless of team change.

Key Risk Consideration: In the event of waiver, franchise underperformance, or non-renewal beyond 2027, repayment relies on remaining guaranteed payments and stretch provisions. Based on current projections, full repayment remains feasible under each scenario.